

(5)

13(a) The cost function of a firm shows a relationship b/w output produced & associated cost of producing it?

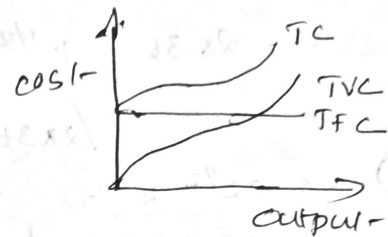
Cost of Firm

Short run

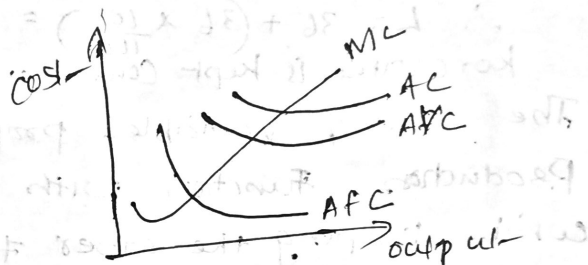
Long run

Fixed Cost

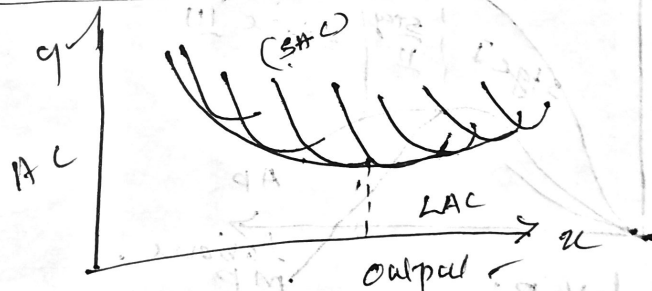
Variable Cost



$$TC = TFC + TVC$$



Long run cost



b). An isoquant is a locus of points showing all the technically efficient ways of combining factors